

Methodological Rigor - Flaw 2

FLAW 2: Cross-Sectional Design for Dynamic Phenomenon

Financial Distress = Process of Deterioration Over Time

Proper Study Design:

Time 0: Measure Z-scores Time 1-3: Observe which hospitals experience crisis Analysis: Do low Z-scores predict crisis?

Actual Design:

Single snapshot (2022) No follow-up No crisis outcomes No validation ❌

From Syllabus Perspective

"Empirical Methods in Corporate Finance" emphasizes:

- Panel data analysis
- Causal identification (DiD, IV, RDD)
- Dynamic models

Paper uses: Descriptive statistics + bivariate tests (1980s methodology)

